MODULE 09

ESTIMATED STUDY TIME: 2.5 HOURS

AI, Sustainability and ESG Claims

WHY THIS MODULE MATTERS

AI is often marketed as a sustainability solution. This module gives you the tools to separate evidenced claims from greenwashing — including your own.

9.1 AI as a Sustainability Claim

Fashion is under sustained scrutiny over its environmental footprint, and AI is frequently offered as part of the answer — better demand forecasting reducing overproduction, virtual sampling cutting physical prototypes, AI-optimised logistics reducing emissions. Some of these benefits are real and measurable. The governance risk is that "AI-powered" becomes a substitute for evidence rather than a route to it.

There is a second, sharper reason for this module. The UK advertising regulator now uses AI to find unsubstantiated sustainability claims — which means the technology cuts in both directions, and the era in which a vague green claim could sit unnoticed in a paid search ad has effectively ended.

CASE STUDY — THE ASA'S AI-DETECTED GREENWASHING RULINGS

On 3 December 2025, the UK Advertising Standards Authority upheld rulings against three major fashion brands — Nike, Superdry and Lacoste — over sustainability claims in paid-for Google advertisements. Nike's ad promoted tennis polo shirts with the phrase "Sustainable Materials"; Superdry's read "Sustainable Style. Unlock a wardrobe that combines style and sustainability"; Lacoste's advertised "Sustainable […] clothing" for its Kids range.

Each brand had a genuine sustainability story. Nike's products contained recycled polyester with demonstrable CO_2 reductions. Lacoste said around 78% of its online Kids clothing used certified materials, supported by life-cycle analysis showing reduced impact versus earlier collections. Superdry's own evidence showed 64% of products contained sustainably sourced materials. None of this saved the ads. The ASA held that the unqualified word "sustainable" is an absolute claim, which the average consumer reads as meaning the products have no detrimental environmental impact across their full life cycle — a far higher bar than any of the three could evidence. Nike's argument that Google's character limits prevented fuller qualification was rejected outright: if a claim cannot be properly qualified in the space available, it should not be made. All three ads were banned.

The detail most relevant to this course is how the ads were found. All three were identified by the ASA's Active Ad Monitoring system, which uses AI to proactively survey advertising in targeted sectors — in this instance, retail fashion specifically. The ASA followed up in June 2026 with further upheld rulings against Uniqlo, adidas and Calvin Klein over "recycled" and "responsibly sourced" claims, found through the same route. Enforcement is now proactive and automated, and fashion is an explicitly targeted sector.

9.2 The UK Regulatory Position on Green Claims

The Competition and Markets Authority's Green Claims Code sets the baseline: environmental claims must be truthful and accurate, clear and unambiguous, must not omit or hide important information, must only make fair and meaningful comparisons, must consider the full lifecycle of the product, and must be substantiated. The ASA enforces equivalent standards under the CAP Code in advertising, and — as the December 2025 rulings show — it applies them strictly.

The enforcement stakes have also risen. Under the Digital Markets, Competition and Consumers Act 2024, the CMA gained direct enforcement powers including fines of up to 10% of global turnover for breaches of consumer protection law. Misleading environmental claims fall within scope as a form of misleading commercial practice. A green claim is no longer only a reputational risk.

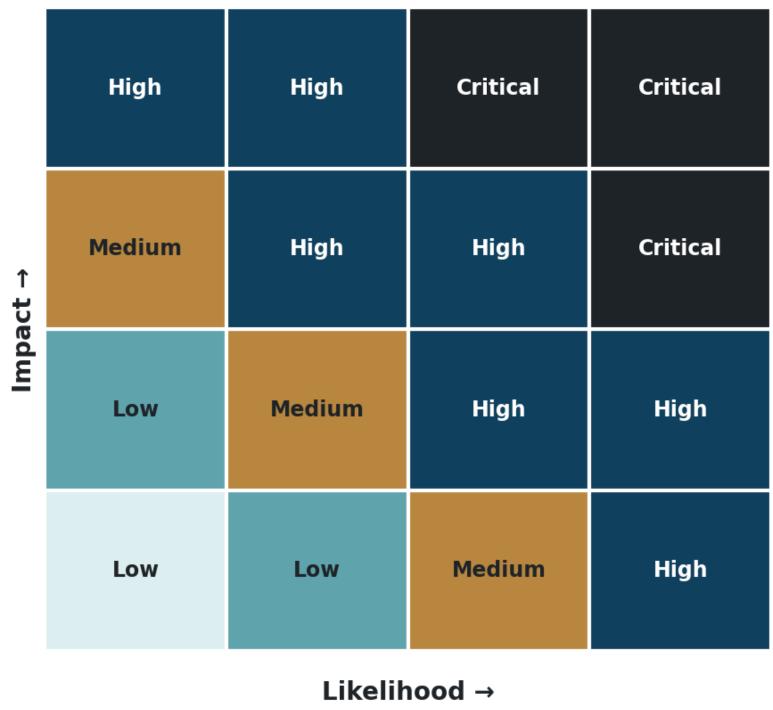

Figure 9.1 — Prioritising sustainability claims for review: the top-right quadrant is where absolute, brand-wide claims sit.

9.3 Absolute Claims Versus Qualified Claims

The single most useful distinction in this module is between absolute and qualified claims, because it is the distinction the ASA applied to all three brands above. An absolute claim — “sustainable”, “eco-friendly”, “recycled” without qualification — asserts that a product has no negative environmental impact across its whole life cycle. Almost no clothing product can evidence that. A qualified claim states precisely what is true, and is therefore both defensible and, generally, more persuasive.

- **Not defensible:** “Sustainable clothing” — absolute, unqualified, and requiring full-life-cycle evidence.

- **Defensible:** "Outer shell made from 75% recycled polyester" — specific, measurable, and scoped to what was actually verified.
- **Not defensible:** "AI-powered sustainable supply chain" — vague on both the AI contribution and the environmental one.
- **Defensible:** "AI-assisted demand forecasting reduced our end-of-season unsold stock by 18% year-on-year" — a specific, measured, scoped outcome.

9.4 Separating Evidenced Claims from Greenwashing

- **Claim only what was actually measured** — if a model reduced sampling waste, do not let that become a claim about the whole product lifecycle.
- **Account for AI's own footprint** — training and running models consumes energy and water. A net sustainability claim that ignores this is incomplete.
- **Beware inherited vendor claims** — a supplier's marketing material is not substantiation. If you repeat their claim, you own it.
- **Watch AI-generated ad copy** — generative tools optimise for persuasiveness, which pushes wording toward exactly the absolute claims the ASA bans. Using an AI copywriter is not a defence.
- **Check the space you have** — if a format cannot carry the qualification a claim needs, make a different claim rather than an unqualified one.

9.5 Data Quality in ESG Reporting

AI is increasingly used to compile ESG and supply-chain reporting, aggregating supplier declarations, certifications and emissions estimates. The governance issue is that these systems produce confident, well-formatted outputs regardless of the quality of what went in. Where a supplier's figure is estimated, self-declared or missing, that uncertainty should survive into the final report rather than being smoothed away by aggregation — because the resulting number may end up in a public claim the business has to defend to a regulator.

- Tag every figure with its provenance: measured, estimated, self-declared by supplier, or modelled.
- Carry uncertainty ranges through aggregation rather than reporting a single point figure.
- Require human sign-off on any AI-compiled figure before it appears in a public claim.
- Keep the audit trail — if a claim is challenged, you need to show how the number was derived, not just what it was.

TRY THIS — YOU ARE THE SUSTAINABILITY LEAD

Scenario: marketing wants to launch a campaign built around the line "our AI-powered supply chain cuts carbon by 40%". The 40% figure comes from a vendor's dashboard covering optimised delivery routing in two of your eleven distribution regions. Can the claim run? (Model answer: no, not as written. The figure may be real but the claim misrepresents its scope in three ways: it covers routing only, not the supply chain as a whole; it covers two regions, not the business; and it inherits a vendor's calculation you have not independently verified. Under the CMA Green Claims Code this is materially misleading by omission, and the ASA's December 2025 rulings show that having a genuine underlying story is no defence when the claim overstates its scope. A defensible version names the specific measure, the scope and the period — and only after you have verified the vendor's methodology yourself.)

IN PRACTICE

A retailer runs every proposed sustainability claim through a two-question check before sign-off: what exactly was measured, and does the wording claim anything beyond that scope? The check takes minutes and has already downgraded three campaign lines from absolute claims to specific ones — each of which would have failed the ASA test in its original form.

KEY TAKEAWAYS

- The ASA's December 2025 rulings against Nike, Superdry and Lacoste show that unqualified "sustainable" is an absolute claim requiring full-life-cycle evidence — a bar almost no garment meets.
- Having a genuine sustainability story is not a defence if the claim overstates its scope; all three brands had real evidence and still had their ads banned.
- Character limits are not a defence — if a claim cannot be qualified in the space available, make a different claim.
- The ASA now finds these ads proactively using AI monitoring, with fashion an explicitly targeted sector, and the CMA can fine up to 10% of global turnover under the DMCCA 2024.
- Specific, scoped, measured claims are both defensible and usually more persuasive than absolute ones.
- AI-compiled ESG reporting produces confident outputs regardless of input quality — tag provenance, carry uncertainty through, and require human sign-off.

FURTHER READING

— ASA — rulings against Nike Retail BV, Supergroup Internet Ltd (Superdry) and Lacoste, 3 December 2025, asa.org.uk

— Competition and Markets Authority — Green Claims Code, gov.uk

— ASA/CAP — advice on general environmental and 'green' claims

MODULE 9 CHECK-IN QUIZ

Five questions to confirm your understanding before moving on. Answers are provided in the Answer Key at the end of the course.

1. What does the CMA Green Claims Code require of environmental claims?

A. Only that they are not deliberately dishonest

B. That they are truthful, substantiated, full-lifecycle, and free of misleading omissions

C. That they are approved by the ASA in advance

D. That they mention AI where AI was used

2. Why is “AI-powered sustainable design” a problematic claim?

A. AI cannot improve sustainability

B. It mentions AI, which is prohibited

C. It is vague and unsubstantiated, where the Code requires specific, measured and evidenced claims

D. It is too technical for consumers

3. What must a net sustainability claim about AI account for?

A. Only the reduction achieved

B. Competitor performance

C. Only supplier-reported figures

D. AI's own energy footprint from training and running models

4. In the “40% carbon” exercise, why can the claim not run as written?

A. It misrepresents scope — routing only, two of eleven regions, and an unverified vendor calculation

B. The figure is fabricated

C. Carbon claims are prohibited in advertising

D. 40% is too large a figure to claim

5. What is the governance risk with AI-compiled ESG reporting?

A. It is too slow to produce

B. It produces confident, well-formatted outputs regardless of the quality of the input data

C. It cannot aggregate supplier declarations

D. It always underestimates emissions